

Marketing Research Report

Names:

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1) Firm Introduction

Dairy Queen was founded in 1940 by John Fremont McCullough. He came up with a formula for soft serve ice cream with his son in 1938 and two years later they perfected their product and soon started selling their ice cream. In 1940 McCullough opened the first Dairy Queen in Joliet, Illinois that had limited menu items which were soft serve pints, quarts, cones, and sundaes. Dairy queen became a big hit and quickly grew which led to introducing new products including the Dilly Bar in 1955 and the famous Blizzard in 1985. Dairy Queen serves ice cream and also has a menu of burgers, salads, hotdogs, chicken, and other sweet treats. Dairy Queen has over 7,500 restaurants that operate in 49 states except Vermont and in 20 countries. They operate under the parent company, International Dairy Queen (IDQ), who is now owned by Berkshire Hathaway which took place in 1988. In the same year that Dairy Queen got bought out by Berkshire Hathaway, International Dairy Queen also purchased Orange Julius Brand and began co-branding with Karmelkorn Popcorn stands. Headquartered in Minneapolis, Minnesota, the corporation accomplished 3.6 billion in global revenue in 2023, and sales were at 4.2 billion in 2022. The market share of the ice cream market was 113.4 billion in 2023 and is expected to grow moving forward. The current CEO of Dairy Queen is Troy Bader who has been in this position since 2018, and the CFO is Mark Vinton. Texas has the most Dairy Queen restaurants with over 600 locations across the entire state. The name “Dairy Queen” got its name from the soft serve creator, John “Grandpa” McCullough, because he considered the cow to be the queen of the dairy business and his store’s sweet staple, soft serve ice cream, as the queen of dairy treats.

2) Research Objective and Hypotheses

The research objective we chose for this project was to identify and study factors that might affect purchase intentions with Dairy Queen. We chose to study purchase intentions as we felt that it was the most appropriate research objective. The independent variables that we sought to study to observe their effect on the dependent variable were price, menu diversity, and quality of customer service.

Our first hypothesis was that if a customer perceived a lower price or a better deal for a given price (i.e. through special meal deals that temporarily bundle menu items at a collectively lower price.) then the customer would be more likely to purchase something at Dairy Queen. We came to this hypothesis because it is sensible to say that most people are attracted to a transaction that is economically sound as we all have limited resources, we only wish to make the best of what we have. In the case of Dairy Queen, when potential customers see that, compared to other fast-food establishments, they can get more food per dollar then it is the more attractive transaction compared to other establishments which, overall, increases the likelihood of a customer wanting to purchase a product from Dairy Queen.

Our second hypothesis was that having a diverse menu would cater to the tastes of more customers comparatively if we only served a specific type of food and, as a result, would increase overall purchase intention. We came to this conclusion that a diverse menu increases customer purchase intention because consumer tastes can change and if we are able to capitulate these changes then we are likely to retain customers who have their tastes change. A second reason that we felt justified in our hypothesis was that if we have more items on the menu then

that means more customers that would be attracted to those additional items and increasing our customer base and purchase intention within consumers.

Our Third hypothesis was that having a higher quality customer service would positively impact customers purchasing intention. We felt this hypothesis was sound in reason as generally the better a customer is treated the more likely they are to return to have the same high-quality experience.

3) Data Collection

I. Data Collection Method

Our goal with this research was to look into the purchase intentions of Dairy Queen customers. We wanted to dive into what factors truly affected the intent of purchases within the firm. With that we had to collect lots of data that could drive us to the question we wanted to figure out. Through that we first sat down as a team to discuss possible questions that could be asked that would help us answer the question that we wanted answer that may have been the hardest part trying to think through an outsider perspective to allow us to gain the needed information that we would eventually need. Marketing researchers use many types of scales to allow them to gain the best insights into the information that they will need. Our team discussed a variety of scales and ended up going with the Likert Scale. We ultimately decided to go with this scale because we felt it would give us a good understanding of our respondents' attitudes and perceptions regarding the factors influencing purchase intention. The Likert Scale allows for the measurement of varying degrees of agreement or disagreement, providing insights into consumer preferences and the decision-making processes. With the Likerts versatility and ability to capture data we felt that it made it the ideal choice for gathering meaningful responses aligned with our research objective. While designing our questionnaire, we took a few precautions to ensure the accuracy and reliability of our data. First, we created questions that were straightforward, clear cut, and relevant to our research objective, avoiding biased phrasing that could influence responses. We wanted to ensure the language we used was accessible to who our target audience was, allowing us to minimize the risk of misunderstanding. Additionally, we kept the questionnaire concise to avoid respondent fatigue while still covering all critical aspects of purchase intention. To maintain consistency, we used a standardized Likert Scale throughout the questionnaire entirely. Now probably the hardest part we had to deal with was with our distribution strategy and trying to get enough responses for fair and accurate data. We did our best to send out the survey through multiple channels to ensure a diverse and appropriate respondent pool. Our primary methods included using social media platforms, where we shared the survey link across various networks to reach a broad audience. Along with that, we utilized text messaging and emails, targeting friends, family, peers, and acquaintances, encouraging them to participate and share the survey with others. We felt that with this multi-channel approach it allowed us to maximize participation and capture a range of insights relevant to our research objective.

II. Questionnaire

This survey is focused on gathering insights on purchase intention at Dairy Queen. This questionnaire includes questions over pricing, menu items, and overall quality of service. Your answers will be completely anonymous and confidential, maintaining your privacy.

Question One: Yes or No Question | Have you ordered from Dairy Queen before?

Question Two: Likert Scale | The pricing of Dairy Queen's products is fair for the quality of the product.

Question Three: Likert Scale | I am satisfied with the options offered on the Dairy Queen menu.

Question Four: Likert Scale | I am satisfied with the quality of service at Dairy Queen.

Question Five: Likert Scale | Did the cleanliness of the store meet your expectations during your visit?

Question Six: Likert Scale | Did you feel satisfied with the time it took for staff to deliver your order?

Question Seven: Likert Scale | How likely are you to consider making a purchase from Dairy Queen in the foreseeable future?

Demographic Questions

These Questions allowed us to profile our Dairy Queen customers to see how we can categorize groups and populate to find out the people purchase intentions at Dairy Queen

Question Eight: Likert Scale | Please select the age group that applies to you.

Question Nine: Likert Scale | Please select which of the following best describes your income level.

Question Ten: Likert Scale | Please select which best describes the size of your household.

Question Eleven: Likert Scale | Please select your highest education level.

Question Twelve: Likert Scale | Please select your current employment status.

Customer Preferences

Going and looking into customer preference allowed us to gain insight into what are people truly liking and what are they choosing from when making a purchase and if we are even in that evoked set of options for purchase intentions

Question Thirteen: preference Selection | What is your favorite fast-food restaurant?

Question Fourteen: preference Selection | Which fast food restaurant has your favorite dessert?

Conclusion

Thank you for taking the time to complete our survey and providing important feedback for our research!

III. Characteristics of the Sample

Overall, we had 64 total responses on our Dairy Queen survey. Three people failed the screening question and were omitted from the survey since they have not been to Dairy Queen before. We had a total of 56 people complete the entire survey which gave us valuable feedback.

Statistics						
N	Q9Age Range	Q10IncomeLevel	Q11HouseholdSize	Q12EducationLevel	Q13EmploymentStatus	
Valid	55	55	55	55	55	
Missing	1	1	1	1	1	
Mean	1.55	2.49	2.04	1.87	1.35	
Median	1.00	3.00	2.00	1.00	1.00	
Mode	1	3	1	1	1	
Std. Deviation	.878	.690	1.053	1.019	.615	
Variance	.771	.477	1.110	1.039	.378	
Range	3	3	3	3	3	

4) Results of Hypotheses Tests

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.343 ^a	.117	.065	1.287

a. Predictors: (Constant), Q5QualityofService, Q4MenuOptions, Q3Pricing

The R-square value of 0.117 indicates that the three independent variables which are Pricing, Menu Options, and Quality of Service explain 11.7% of the variation in the dependent variable which is Future Purchases. This is a low result which suggests other factors may be contributing significantly to predicting future purchases.

ANOVA^a

Model	Sum of Squares	df	Mean Square	F	Si g.
Regression	11.235	3	3.745	2.261	.092 ^b
Residual	84.474	51	1.656		

Total	95.709	54			
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a. Dependent Variable: Q8FuturePurchases

b. Predictors: (Constant), Q5QualityofService, Q4MenuOptions, Q3Pricing

The F-test value is 2.261, with a significance level of 0.092, which is above 0.05. This suggests the overall model is not significant, indicating that the independent variables, as a group, do not significantly predict the dependent variable.

Coefficients^a

Model	Unstandardized Coefficients		Standardized Coefficients Beta	t	Sig.
	B	Std. Error			
(Constant)	4.073	.544		7.493	<.001
Q3Pricing	.025	.231	.016	.107	.916
Q4MenuOptions	-.561	.217	-.363	-2.589	.012
Q5QualityofService	.130	.232	.086	.559	.579

a. Dependent Variable: Q8FuturePurchases

- **Hypothesis #1: Lower Perceived Prices Increase Purchase Intentions**

The data does not support Hypothesis #1, which proposed that lower perceived prices would lead to higher purchase intentions for Dairy Queen. The regression coefficient for price is 0.025, which shows a slight positive but weak relationship between perceived price fairness and purchase intention. The t-value of 0.107 is extremely low, which suggests that the effect of perceived price fairness on purchase intention is insignificant. The p-value of 0.916 is greater than 0.05, which confirms that this variable's effect is insignificant. These data results suggest that the perceived price fairness does not significantly influence the customers' purchase intentions at Dairy Queen.

- **Hypothesis #2: A Diverse Menu Increases Purchase Intentions**

The data fails to support Hypothesis #2, which proposed that a diversified menu would lead to higher purchase intentions for Dairy Queen. The regression coefficient for diverse menu is -0.561, indicating that as satisfaction with the menu's diversity increases, purchase intention decreases. The t-value is -2.589 and the p-value of 0.012 is below the significance of 0.05, meaning this result is significant. These surprisingly negative results contradict the hypothesis, which

hypothesized a positive effect. These results may need further investigating as the findings may reflect dissatisfaction with the menu or overwhelming for the consumers.

- **Hypothesis #3: Better customer service positively impacts purchase intention.**

The data shown does not significantly support hypothesis #3 which was focused on higher quality customer service. The p value scored a 0.579 way above the .05 significance which results in the hypothesis not being statistically significant. The t value scored a .559 which is low but also shows there is a weak relationship between quality service and purchase intention. Lastly, the regression coefficient for quality of service was .130 which was higher than the other two hypotheses. This number shows a slight positive relationship with quality of customer service and purchase intention. With these results presented, this hypothesis does not significantly predict higher purchase intention.

- **Additional IVs**

Additional independent variables were not tested for results.

5) Conclusion

I. Recommendations for the firm

While conducting our research to investigate the factors that influence purchase intentions at Dairy Queen, we focused on 3 independent variables which were price perception, menu diversity, and quality of customer service. When looking at our results, we wanted to look at actionable insights for the firm to refine the company's marketing strategies. Even though our data did not fully support our hypotheses, these results helped us curate ways to improve and refine current strategies. In our first hypothesis, we stated that lower prices increase purchase intention, but our data ended up not supporting this statement. Although affordability is a factor that attracts buyers, this is not a decisive factor for Dairy Queen with our survey results showing a weak relationship between the two. Our second hypothesis was suggesting the wide variety of Dairy Queens menu heavily influencing purchase intention which was proved not true with our survey results. The survey results reflected that their customers are not pleased with the current offers and hints that Dairy Queen should take a new approach to the menu items. Our last hypothesis looks at a positive influence on high-quality customer service showing a positive relationship with purchase intention and our data did not reflect this. Even though our results implied high-quality customer service is appreciated it does not influence purchase intention in a significant way.

Based on our survey results we recommend the following tactics to improve Dairy Queens marketing strategy. The first step would be changing the menu and making it more aligned with their customers' preferences. Keep and promote the

best sellers by offering deals and introducing more seasonal items that will create excitement. For best results with this, send out a survey to gain an understanding of what the customers' preferences are when it comes to menu items specifically and implement those changes based on the results. Even though customer service did not impact purchase intention heavily, we still recommend enhancing this factor by investing in training for employees. Focusing on this would shine a light on the company and provide a good image and with a good image you can reinforce brand loyalty. Dairy Queen could also experiment with targeted promotions and location discounts to attract the cost-sensitive segment. Customers always love a good deal and with all the other changes implemented, we could see a positive effect on purchase intention within the company. Communication would be crucial if they implemented these changes and by emphasizing a commitment to customer satisfaction, they could take this as a fresh start. By implying they are making these changes to enhance a customer's experience this will help strengthen the brand image.

II. Limitations of your study

Our results should be interpreted with caution due to limitations that would impact the reliability of our study. We took a small segment of the customer market for the company and our findings were based off this segment. There is no way to grasp the whole customer base to gain 100% accurate insights. We also used the Likert Scale which was very useful for our findings but there could've been a better scale to use that would have given us more accurate results. As far as improving our results, we could've gained a larger audience and surveyed them making sure it was well diverse and representative of the customer base. In the future, we could pilot-test our survey to ensure that we asked the questions in the best way possible to gain the best results for our studies. I also believe if we looked at factors such as brand loyalty or engagement it could have given us a better understanding of purchase intention within Dairy Queen.

Even though our original hypotheses were not completely supported, this research gives us great insight into Dairy Queens marketing strategies. Our findings show us that if the company took a new approach to the diversity of the menu, used effective price strategies, and focused on customer experience we could see amazing results for the future of Dairy Queen.

6) Appendix

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